

Exhibit 142: Comparison of two firms with similar earnings but different cash flows

Company X (in ₹)	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	10,00,000	10,50,000	11,02,500	11,57,625	12,15,506
Earnings	1,00,000	1,05,000	1,10,250	1,15,763	1,21,551
Investment	-50,000	-52,500	-55,125	-57,881	-60,775
Free cash flow*	50,000	52,500	55,125	57,881	60,775
Company Y (in ₹)					
Revenue	10,00,000	10,50,000	11,02,500	11,57,625	12,15,506
Earnings	1,00,000	1,05,000	1,10,250	1,15,763	1,21,551
Investment	-25,000	-26,250	-27,563	-28,941	-30,388
Free cash flow*	75,000	78,750	82,688	86,822	91,163

Source: Adapted by Ambit Capital from Value: the Four Cornerstones of Corporate Finance (2010) by Tim Koller, Richard Dobbs and Bill Huyett, McKinsey & Company.

** Free cash flow is calculated as 'Earnings minus investment'.*

The interesting thing about earnings is that not only can they be manipulated according to the whims of the management team, but they only provide information about how much profit a business can generate every year and NOT about the re-investments of those earnings necessary to keep the business running. The cash flow figures, on the other hand, describe clearly how much of the profit is actually left for shareholders.

Using these free cash flow figures and plugging them in a simple DCF model with an assumption of 5 per cent growth rate (forever) discounted at cost of capital of 15 per cent results in Company X being valued at Rs 500k versus Company Y at Rs 750k, an obvious answer given that Company Y requires less reinvestment (for the same earnings) and so generates more free